

US Senate removes controversial ‘AI moratorium’ from budget bill

U.S. senators voted overwhelmingly on Tuesday to remove a [controversial 10-year ban](#) on states’ abilities to regulate AI from the Trump administration’s “Big Beautiful Bill,” reports [Axios](#).

The provision to the reconciliation bill was introduced by Sen. Ted Cruz (R-TX). Many prominent Silicon Valley executives — including OpenAI’s Sam Altman, Anduril’s Palmer Luckey, and a16z’s Marc Andreessen — were in favor of the so-called “AI moratorium,” which they said would prevent states from forming an unworkable patchwork of regulation that could stifle AI innovation.

Opposition to the provision became a bipartisan issue, as most Democrats and many Republicans warned that the ban on state regulation would harm consumers, and let powerful AI companies operate with little oversight. Critics also objected to Cruz’s plan to tie compliance with federal broadband funding.

After going back and forth over the provision, Sen. Marsha Blackburn (R-TN) on Monday offered an amendment to strip the provision alongside Sen. Maria Cantwell (D-WA).

Blackburn (pictured above) originally opposed the provision, but came to an agreement with Cruz over the weekend that shortened the proposed ban from 10 years to five. Blackburn then pulled her support for the provision entirely on Monday.

The Senate voted 99-1 to strip the AI moratorium.

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